INVENTORY EXAM

SITUATIONAL ORAL ANALYSIS

1. What have you observe in the branch operation process?

2.What are the practices in the selling area? Do you think it will help them improve their operation?

3. How did they conduct physical count inventory?

4. Whats the difference between manual inventory versus store apps?

5. What have you learned during the branch exposure?

RED FLAGS OF INVENTORY

SAMPLE SCENARIO 1

BREADS	BEG. INVENTORY	PROD. IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
STAR BREAD	150	200	0	350	185	165	5	825

BEGINNING INVENTORY IS TO MANY IN TERMS OF QUANTITY

NOW WE ASSUME THAT OUT 200 PCS PRODUCTION, ONLY 15 PCS ARE BEING SOLD.

TOTAL PRODUCTION OF BAKER IS ALMOST THE SAME QUANTITY WITH THE BEG. INVENTORY

SOLD-OUT ITEM IS MUCH LESSER THAN THE ACTUAL QUANTITY COUNT.

NO DECLARATION OF BO. BEG. INVENTORY MUST BE PART OF BO TO BE PULL-OUT

ANOTHER ANALYSIS IS THEY SELL BO BREADS WHICH IS NOT OPERATING STANDARD

SAMPLE SCENARIO 2

DAY 1

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	15	20	0	35	35	0	275	0

DAY 2

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	35	0	0	35	35	0	275	0

DAY 3

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	35	0	0	35	34	1	275	275

DAY 4

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	34	15	0	49	47	2	275	550

TRENDING PATTERN

WHEN PHYSICAL COUNT IS APPROACHING

DAY 5

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	47	0	0	47	40	7	275	1925

DAY 6

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	40	0	0	40	33	7	275	1925

DAY 7

ICE CREAM	BEG. INVENTORY	DELIVERY IN	BO	TOTAL	PHYSICAL COUN	SOLD-OUT	SRP	AMOUNT
ICE CREAM 1.3	33	0	0	33	25	8	275	2200

ANALYSIS

THE HISTORY OF SOLD-OUT/TRENDING IS ERATIC. IF THE CASE IS LIKE THIS. THERE IS SOMETHING HAPPENING IN THE BRANCH